Literature View:
Positioning Remittance Non-Neutrality with Returns

Draft notes

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1 Positioning in the literature

When positioning the paper in the literature, emphasize that existing public finance work often explains why tax remittance may matter in practice. Slemrod (2008) stress avoidance, evasion, and administrative costs when the statutory remitter differs from the party that ultimately bears the tax. Chetty et al. (2009) show that consumers may underreact to taxes that are less salient at the point of purchase, so posted-price versus register-price remittance can change behavior even when statutory incidence is held fixed.

This paper identifies a distinct, purely structural source of remittance non-neutrality that survives fully rational, attentive agents. Under product returns, the refund price differs under buyer versus seller remittance: a seller-remitted tax is refunded at the tax-inclusive checkout price, whereas a buyer-remitted tax is refunded only at the pre-tax list price. Because the keep-or-return decision depends on the refund price, the return margin dynamically reshapes supply, effective margins, and equilibrium outcomes even when no agent misperceives the tax and no evasion margin is active. The contribution is therefore not another behavioral or enforcement story about who remits, but a market-structure result: returns break the classical remittance-neutrality benchmark through the economics of the refund margin itself.

Cakmak et al. (2022) estimate how sellers on a Turkish apparel marketplace should price when buyers can return the good. For the top women's jeans, product return rates run from about 5 percent to about 46 percent. Across products and within a product over time, a higher price comes with a higher return rate. Over the interquartile range of price deviations the return rate is about 30 percent higher. Sales net of returns are therefore more price-elastic than orders, by about 1 to 6 percent and about 2 percent on average. That extra elasticity shrinks the optimal markup. With handling costs set to zero, the authors find that prices would fall by 1.5 percent on average. Handling costs push the price up, because each kept sale carries the cost of the returns that come with it. With the marketplace's handling costs, this second force is larger. The two largest sellers raise prices by 1.3 percent and 1.8 percent. Their orders fall by about 2 to 3 percent, total return costs fall, and profit rises by about 0.4 percent. A sales-weighted profit gain across sellers is about 0.6 percent. Their object is the seller's pricing rule under a given return policy. Pass-through and incidence of a tax charged on kept sales and only partly refunded on returns are a separate question.

References

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